

Systematic ETF decay sleeve

(Illustrative investor overview — v1)

Sleeve objective. Harvest structural headwinds embedded in daily-reset leveraged / structured ETFs vs hedges, while targeting muted directional beta.

Reporting. Gross leverage scenarios 2.5×–4×; benchmark SPY (total return) shown for context only.

Performance exhibit. Backtest window begins **January 2024** (see dashboard page). Open calendar years label return as YTD.

Confidential — illustrative only. Not an offer or solicitation. Past / modeled performance is not indicative of future results.

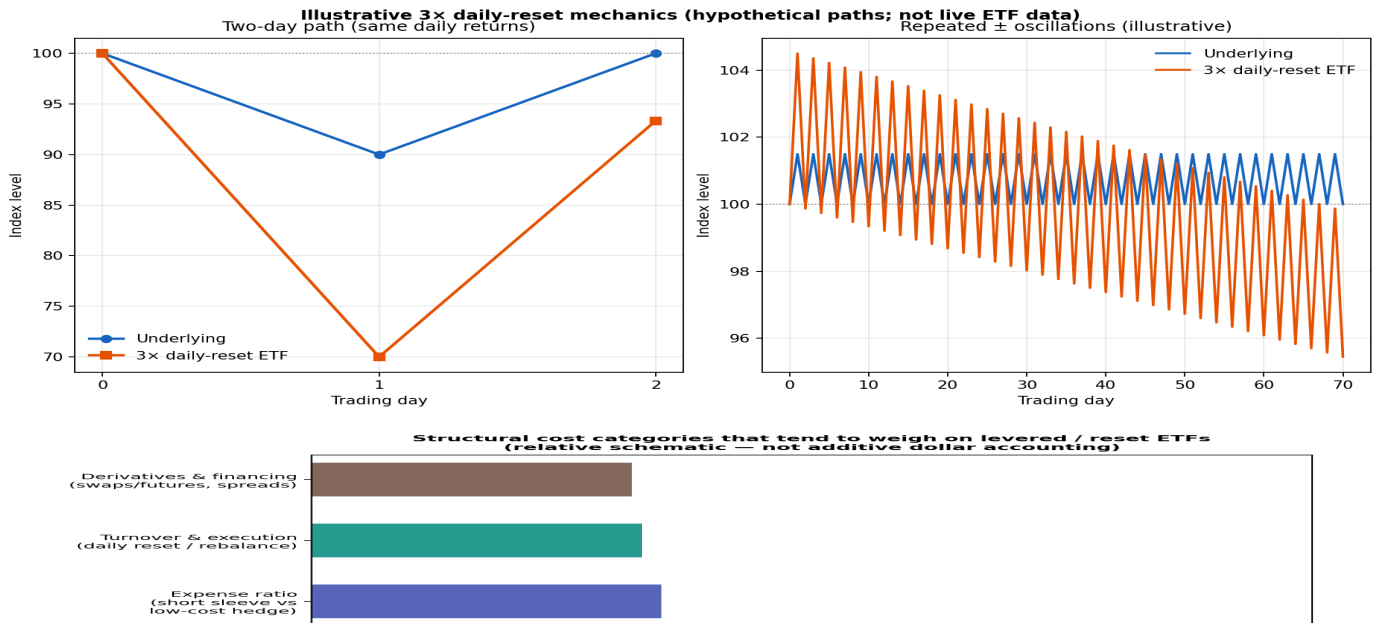
Executive summary

Leveraged and inverse ETFs are engineered around **daily percentage** exposure targets. Compounding through resets generates predictable **path dependence**: realized multi-period returns diverge from naive “beta times underlying” intuition, especially when volatility clusters.

The sleeve sells decay-heavy ETF legs and hedges with underlying (or tight proxies), aiming to isolate structural decay while controlling directional drift. Implementation introduces borrow, financing, liquidity, and gap risk — diversification and sizing discipline matter.

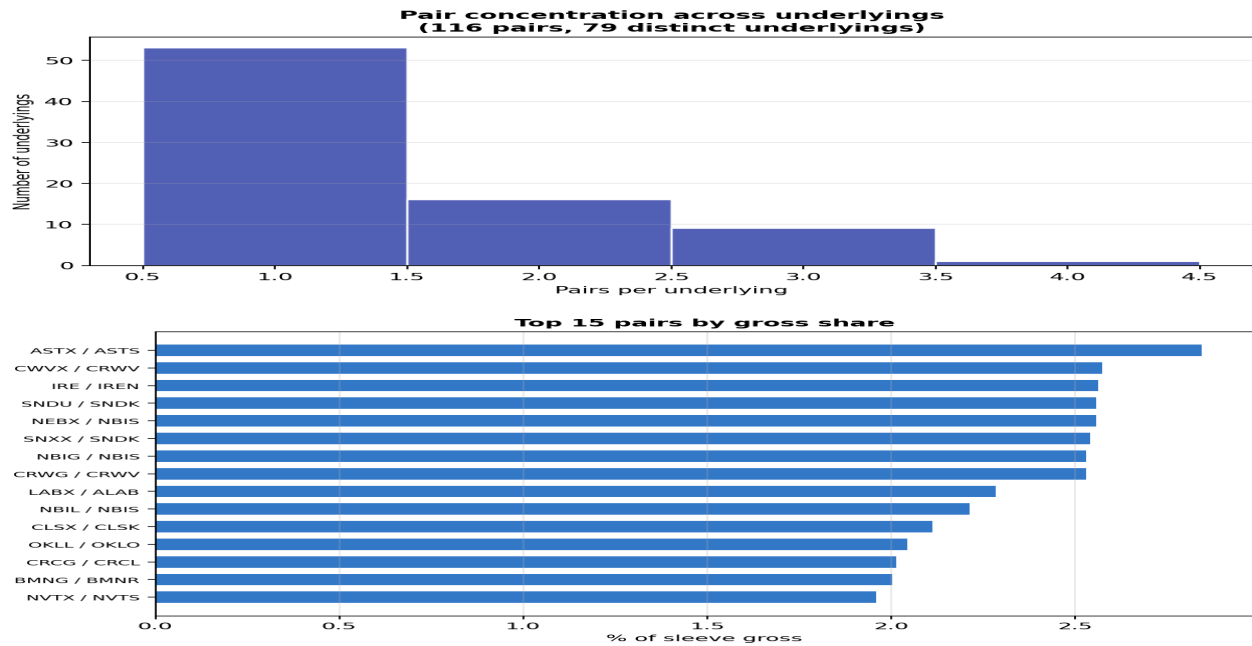
Mechanics (3× illustration) & structural cost drivers

Hypothetical **3× daily-reset** paths below are pedagogical only; they do not represent marked-to-market borrow, financing, or tracking error.



Diversification & path dependence

The modeled sleeve spans **116 pairs** across **79 underlyings**. Breadth mitigates single-name gap risk but does not eliminate regime shifts or financing shocks.



Top 15 pairs by gross (liquidity snapshot)

ETF	Und	Wt	Gross	%ADV	%AUM
ASTX	ASTS	0.028	2.67M	1.21%	0.28%
CWVX	CRWV	0.026	2.41M	1.29%	0.66%
IRE	IREN	0.026	2.40M	0.38%	0.17%
SNDU	SNDK	0.026	2.40M	1.14%	0.66%
NEBX	NBIS	0.026	2.40M	1.02%	0.38%
SNXX	SNDK	0.025	2.38M	0.04%	0.03%
NBIG	NBIS	0.025	2.37M	3.24%	1.85%
CRWG	CRWV	0.025	2.37M	0.67%	0.52%
LABX	ALAB	0.023	2.14M	3.47%	1.01%
NBIL	NBIS	0.022	2.07M	1.27%	1.01%
CLSX	CLSK	0.021	1.98M	7.57%	2.58%
OKLL	OKLO	0.020	1.92M	0.72%	0.24%
CRCG	CRCL	0.020	1.89M	0.70%	0.48%
BMNG	BMNR	0.020	1.88M	0.90%	1.64%
NVTX	NVTs	0.020	1.84M	3.46%	1.37%

Performance vs SPY (total return)

2024 start. Bars show annualized returns for full calendar years and YTD for the open year. Multiple gross leverage paths vs benchmark.

